

Amazon.com Inc. (NASDAQ: AMZN)
\$1,641.54 USD (As of 06/01/18)

Zacks Rank 2-Buy

Style: Value: **F** | Growth: **C** | Momentum: **B** | VGM: **D**
Data Overview

Target Price	\$1,825.00
52 Week High-Low	\$1,641.54 - \$938.60
20 Day Average Volume	2,919,146
Beta	1.59
Market Cap	796.52 B
Dividend / Div Yld	\$0.00 / 0.00%
Industry	Internet - Commerce
Industry Rank	75 / 255 (Top 29%)
Current Ratio	1.06
Debt/Capital	43.92%
Net Margin	2.04%
Price/Book (P/B)	25.32
Price/Cash Flow (P/CF)	57.65
Earnings Yield	0.78%
Debt/Equity	0.78

Value Score
F

P/E (F1)	128.06
P/E (F1) Rel to Industry	107.13
PEG Ratio	4.24
P/S (F1)	4.12
P/S (TTM)	4.12
P/CFO	57.65
P/CFO Rel to Industry	NA
EV/EBITDA Annual	49.36

Growth Score
C

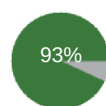
Proj. EPS Growth (F1/F0)	181.74%
Hist. EPS Growth (Q0/Q-1)	107.68%
Qtr CFO Growth	-11.39
2 Yr CFO Growth	2.29
Return on Equity (ROE)	11.77%
(NI - CFO) / Total Assets	-3.47
Asset Turnover	1.68

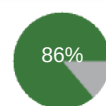
Momentum Score
B

1 week Volume change	1.08%
1 week Price Cng Rel to Industry	0.02%
(F1) EPS Est 1 week change	0.00%
(F1) EPS Est 4 week change	0.00%
(F1) EPS Est 12 week change	50.94%
(Q1) EPS Est 1 week change	4.26%

Summary

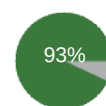
Amazon's stock has outperformed the industry it belongs to on a year-to-date basis. Amazon is benefiting from an expanding AWS enterprise customer base and increasing number of paid Prime members. In the first-quarter, AWS was selected by enterprise customers like GoDaddy, Cox Automotive, Shutterstock, NextGen Healthcare, Amway and LG Electronics. Moreover, collaboration with VMware is expected to boost AWS product offerings in the long haul. Notably, AWS generates much higher margins than retail, positively impacting Amazon's profitability. Additionally, Amazon's expanding distribution footprint bodes well for Prime. However, the company's increased operating expenses to support expansion of its business into new markets and territories, localize the availability of products and grow its content will keep margins under pressure.

Elements of the Zacks Rank
Agreement Estimate Revisions (60 days)

Q1 (Current Qtr)

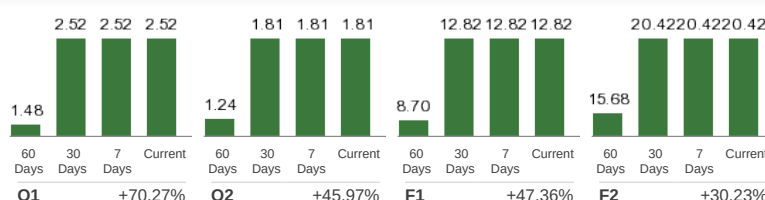
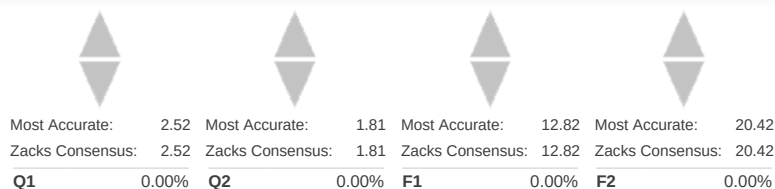
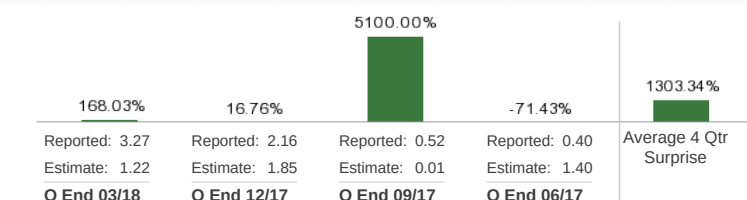
Revisions: 14
Up: 13 Down: 1

Q2 (Next Qtr)

Revisions: 14
Up: 12 Down: 2

F1 (Current Year)

Revisions: 16
Up: 16 Down: 0

F2 (Next Year)

Revisions: 15
Up: 14 Down: 1

Magnitude Consensus Estimate Trend (60 days)

Upside Zacks Consensus Estimate vs. Most Accurate Estimate

Surprise Reported Earnings History


Overview

Seattle, Washington-based Amazon.com, Inc. is one of the largest online retailers, with extensive operations in North America, now spreading across the globe. Revenues were \$177.9 billion in 2017. The company reports revenue under three broad heads—North America, International and AWS, which generated 59.7%, 30.5% and 9.8% of total revenues, respectively. North America and International are further divided on the basis of Media, Electronics and other General Merchandise (EGM), and Other (basically non-retail revenue from infrastructure services, external seller sites, co-branded credit card agreements and miscellaneous marketing and promotional activities).

Amazon targets three categories of customers—consumers, sellers and website developers. Consumers are offered variety, convenience and free delivery of goods displayed on the company's websites. Some of the websites hosted include amazon.com, amazon.co.uk, amazon.de, amazon.fr, amazon.co.jp, amazon.ca and amazon.cn. The agreements with sellers are varied, enabling them to use the company's websites to either sell their merchandise directly, or redirect customers to the sellers' own branded websites. In case of the latter arrangement, Amazon earns a fee for the sales thus generated. Website developers are offered technology infrastructure through Amazon Web Services.

While books, music and movies generate the largest chunk of revenue, the company offers a variety of other products, including auto parts, toys, electronic gadgets, cell phones, software, home furnishings, apparel, jewelry, health and beauty aids, prescription drugs, groceries and food. Users can also download books, games, music and films on their PCs, Amazon's tablets and other handheld devices.

Competition comes in the form of traditional retailers, other online retailers, media companies, web portals, search engines, e-commerce websites, companies offering infrastructure, web services, information storage and computing services, and companies doing business with media devices.



Reasons To Buy:

- ▲ Amazon.com is **one of the largest e-commerce companies** in the world. Although the primary product line was books at first, the company rapidly diversified into a host of other product categories. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in that market are considerable. Product selection, a superior user experience, bargains and customer feedback have helped the company build a strong position for itself in the fast-growing ecommerce market. The growth of the e-commerce industry with consumers increasingly buying things online has proved to be favorable for the company. While the big brands may build their own online stores over time, a platform like Amazon allows discovery by new buyers. Smaller players are far more dependent on Amazon as they don't have the resources that Amazon has to invest in technology and fulfillment to generate the kind of reach that Amazon can deliver. Moreover, considering opportunities in international markets, the company's high growth rates are likely to be sustained over the next few years.
- ▲ Amazon keeps its retail business very hard to beat on price, choice, and convenience with the help of a solid loyalty system in **Prime and its FBA strategy**. The company continues to push advantages exclusively to Prime members, thus encouraging them to spend more on Amazon. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in the market are considerable. Prime members are much more loyal and spend double the amount spent by non-Prime members.
- ▲ Amazon's strategy of **gradually merging online and offline retail** looks promising. It will not only reshape the retail landscape but also help it fend off competition, if it could manage a first mover advantage. It has added online and offline features to its bookstores and is going the same way with innovations such as drive-in-grocery delivery service (AmazonFresh Pickup - order groceries online and collect them from a store nearby) and "cashier-less" stores (Amazon Go – the company's first brick-and mortar grocery store). We expect online retail sales to decelerate while the overall retail market still holds a lot of potential. So, moves like these will help Amazon tap a large number of customers who prefer to shop offline, while not doing away with the online business.
- ▲ Amazon is the leading provider of cloud infrastructure as a service to enterprise customers. **The Amazon Web Services (AWS)** business as it is called generated revenues of \$4.6 billion in the third quarter, growing at over 40% year over year in each of the last five quarters. Even more encouraging is the fact that AWS generates much stronger margins than the traditional retail business, which should remain a positive for the company's profitability as it continues to grow in the mix. AWS is gaining momentum with customers including Adobe, GE Oil & Gas, Kellogg's, Airbnb, hilips, Pinterest, Spotify, Tata Motors, Unilever, McDonalds, BMW, British Gas, Capital One, US Department of State and USDA Food and Nutrition Service.
- ▲ Amazon is pushing well with its **devices strategy**. Alexa powered Echo devices are going great guns and help the company sell products and services. Artificial intelligence (AI) driven Alexa has already been integrated into a host of everyday devices for the digital home, which has converted the nascent smart home market into a potential area of growth in a very short time. Currently, Alexa is equipped with more than 25,000 of skills and can connect to any stream of business. It's an important method of collecting householder information, since Alexa is used to listen to commands and store everything that it hears in the cloud. The company is racing to build an ecosystem around Alexa and it's safe to say that it has taken an early lead over Google's smart assistant and Microsoft's Cortana.
- ▲ Amazon is gradually choosing the **buy option over build**, which, along with the other positives, ensures that the company generates revenues right way without wasting any time in building its own infrastructure. In Jul, 2017, the company completed the acquisition of a Dubai-based e-commerce giant, Souq.com. The deal will help Amazon to establish a presence in countries like Egypt, Saudi Arabia, and the UAE markets like Egypt, Saudi Arabia, and the UAE. Amazon's retail market share is still relatively small in these markets, but there is a good possibility of an increase in the next few years. If this happens, the company will see additional several billion dollars a year in revenues. In August, the company closed acquisition of natural and organic foods supermarket, Whole Foods Market for \$13.7 billion. Through this acquisition, the company is targeting the considerably large customer base that still prefers to shop at physical stores. This is Amazon's way of tackling mounting competition and slow growth in the e-commerce space. This year, Amazon has also acquired Body Labs, a startup that develops AI, computer vision and body-modelling based 3D body shapes and motion for various industries. It also acquired GameSparks to spruce up its gaming capabilities.
- ▲ The **International segment** balances out the domestic business. It has been generating double-digit year-over-year growth right through the recession and thereafter. Amazon has been introducing several new products for international markets that are expected to drive demand. It is also building fulfillment centers to cater to the increase in demand. The company has been expanding Prime internationally to strengthen its foothold in international markets and create a launch pad for its other business. We expect the growing international market to continue to drive sales over the long term, as opportunities abound.
- ▲ Amazon has accelerated its push in the **logistics business**. The company is reportedly working on a new delivery service called "Seller Flex", where it itself will pick up packages from third-party merchant warehouses and deliver them to customers, a function currently handled by its long-time partners United Parcel Service and FedEx. The company is increasing its own control and reducing reliance on courier partners and third-party merchants in the process of delivering products. Earlier the company announced that it will build its first air cargo hub at Cincinnati/Northern Kentucky International Airport. Moves like these underscore Amazon's accelerated push toward building its own in-house shipping and logistics service to support the complex network of

Amazon.com is strengthening its leadership position in the e-commerce segment with innovation in delivery and logistics, broadening of its product selection, device strategy, international expansion and the Prime membership program.

fulfillment, logistics and delivery systems that it has been building. Amazon has been investing heavily in fulfillment centers, trucks and containers and its Fulfillment by Amazon (FBA) service has been doing well. It has bought some planes and also has self-designed drones in the works.

- ▲ Amazon.com generates **strong cash flows**. The nature of the retail business does not leave too much room for differentiation, so price competition is intense. However, despite the seasonality in its business and the resultant fluctuation in gross margins, operating margins do not move around that much. This is because of a relatively flexible operating cost structure, which allows the company to curtail technology and content expenses in particular when margins are impacted by discounts and promotions to boost sales during the holiday season. Given these factors, revenue growth and the expansion of business are the primary drivers of cash flows. However, management has been investing in the business aggressively mostly transferring gross profit gains into fulfillment, technology, content and acquisitions. We consider these investments essential in driving the next growth phase. Moreover, these investments have increased automation in the fulfillment centers and led to huge volumes of quality content, which along with strong growth in third party units are positives for gross margins. The increased investment on the AWS side, despite being a drag on profits initially, has paid off big time.

Risks

- There is a downside to a growing international business in the current economic environment. While expansion opportunities automatically increase, **currency** also starts playing a bigger role. Currency continues to have a significantly negative impact on its e-commerce results, which is now being offset by strength in AWS. Since the dollar remains strong at the moment and the situation may not change much for the rest of the year as well, there will be pressure on Amazon's profitability. The risk should be hedged however as AWS increases in the mix. AWS revenues are dollar-denominated while a lot of the assets were located in low-cost regions meaning that reduced competitiveness from the rising dollar would potentially be compensated by lower costs. Also note that once companies have migrated to its AWS platform, it will be difficult to switch or stop using it, leading to a situation of relatively inelastic demand.
- The AWS business is bringing an **element of cyclical** into the business. Generally, a capital-intensive business means that the company will have to periodically sacrifice profits to build out infrastructure and then wait for customers to fill up the capacity thus created. So there will be periods during which the company will build out at the cost of profits and cash flows followed by periods during which the increased operating leverage will translate into improved profitability. AWS is still a small percentage of Amazon's total business, but still has a significant impact on its profitability because of the low-margin profile of the retail business. As AWS grows as a percentage of sales, it will become a greater influence on profitability.
- **Prime's saturation in the U.S. market** is apparent, because Amazon has very high penetration rates in the country. This led management to announce a tiered pricing system, wherein users can try out a monthly subscription if they are unsure about the program or don't want to pay upfront for the whole year. This plan brings flexibility to the pricing system, so is likely to remain. It should also increase penetration amongst the less affluent households.
- **The competition in online retail** is heating up. Traditional retailers have always provided the strongest competition and a number of them are running e-commerce sites as well. Additionally, the increased use of the Internet in both developed and developing economies is attracting other players into the space. Affiliation programs are being used by big players such as eBay. Several smaller companies could also find their own niche. While the Chinese market appears ripe and Amazon has initiatives to increase penetration in the market, local company Alibaba.com is very well-entrenched there. In China, Amazon has to contend with not only Alibaba, but also a growing number of other home-grown players. Additionally, Alibaba is now targeting the American market, which will greatly increase competition for Amazon. Further, since Amazon's first mover advantage is likely to moderate over time, some market share erosion seems inevitable.
- Amazon continues to **invest heavily on fulfillment centers, TV shows and movies, grocery, AWS, India expansion** and what not. In India, the company is making massive investments to build a logistics network that would cover the entire country. The \$5 billion investment plan is well on track but at the cost of global margins. Management has indicated that Amazon will continue with its push into the Indian e-commerce market, making the nation its fifth largest market after the U.S., the U.K. Japan and Germany. That being said, Amazon's global margins are likely to be under pressure at least for a few years in the future.
- Most retail businesses tend to be **seasonal** and Amazon's is no different. The company's revenues get a huge boost from the holiday season each year. Over 34% of its 2017 revenues were generated in the fourth quarter of 2017, compared with 32% in 2016 and 33% in 2015. With such a huge contribution from the fourth quarter, there is an obvious drop-off in the first quarter. The dependence on consumer spending makes the business lumpy, increasing the possibility of expectations going awry. However, management usually provides a fairly conservative guidance and reported revenues are usually within the guided range.

Last Earnings Report

Amazon delivered first-quarter 2018 earnings of \$3.27 per share, crushing the Zacks Consensus Estimate by \$2.05 (168%) and also soared 121% year over year.

Net Sales of \$51.04 billion comfortably surpassed the Zacks Consensus Estimate of \$50.17 billion. The figure surged almost 43% year over year and beat management's guided range of \$47.75-\$50.75 billion. After adjusting for foreign exchange, revenues increased 36% year over year.

North America revenues (60.2% of sales) jumped 46.4% from the year-ago quarter to

Quarter Ending 03/2018

Report Date	Apr 26, 2018
Sales Surprise	1.73%
EPS Surprise	168.03%
Quarterly EPS	3.27
Annual EPS (TTM)	6.35

\$30.73 billion. International revenues (29.1% of sales) increased 34.5% to almost \$14.88 billion.

Amazon Web Services (AWS) Sizzles

AWS revenues climbed 48.6% year over year to \$5.44 billion primarily driven by expanding customer base.

AWS launched two Availability Zones ("AZ") and one Local Region in Osaka, Japan during the quarter. The company plans to open 12 more AZ across four regions (Bahrain, Hong Kong, Sweden) and a second GovCloud Region in the United States by early 2019.

AWS now operates 54 AZ across 18 geographic regions globally.

AWS' customer base continued to expand in the reported quarter. The company added enterprise customers like GoDaddy, Cox Automotive, Shutterstock, NextGen Healthcare, Amway, LG Electronics among others. Pfizer has selected Amazon Redshift as the enterprise standard for its mission critical analytical applications.

AWS machine learning services have also gained significant traction with active users soaring more than 250% in the last year driven by the broad adoption of Amazon SageMaker. Amazon Aurora continues to be the fastest growing service in the history of AWS.

During the quarter AWS launched AWS Secrets Manager, a new service that helps customers protect access to their applications, services and IT resources.

AWS also announced Amazon Simple Storage Service (Amazon S3) One Zone-Infrequent Access (Z-IA) and general availability of Amazon S3 Select.

Amazon Transcribe and Amazon Translate, two new machine learning services which are part of the AWS machine learning portfolio, are now generally available.

Amazon in collaboration with VMware announced the expansion of VMware Cloud on AWS into Europe and powerful new capabilities for migrating and protecting applications.

Expanding Delivery for Prime Members

Amazon introduced grocery delivery from Whole Foods Market in 10 cities in the United States, offering customers free two-hour delivery on thousands of natural and organic groceries and locally-sourced items.

Moreover, Amazon, Chase, and Whole Foods Market announced that eligible Prime members can earn 5% back on Whole Foods Market purchases when using the Amazon Prime Rewards Visa Card.

Further, Amazon launched Fulfillment by Amazon ("FBA") in Australia. In Europe, the company launched additional locations for public fulfillment center tours in Spain, Italy, and the U.K., joining over 25 other sites across North America and Europe.

Amazon now has 15 fulfillment centers in the United States with solar panels producing power. The company is committed to host solar energy systems at 50 fulfillment centers by 2020. The company intends to power all global infrastructures using 100% renewable energy.

Expanding Content

Amazon provided green signal to new series Cortés from executive producers Steven Spielberg and Steven Zaillian. Moreover, Amazon Studios acquired the global television rights to Consider Phlebas, the first novel of the Culture series by Iain M. Banks.

Prime Video premiered new seasons of Bosch (season four) and Sneaky Pete (season two) during the quarter.

Notably, Amazon Music Unlimited subscriptions has surged more than 100% over the past six months.

Alexa Features Expanding

Amazon has added a number of features to Alexa, which makes it more customer and developer friendly. The company introduced FreeTime on Alexa, exclusively for kids. Amazon also announced the Echo Dot Kids Edition.

The company released new modes — Follow-Up, Alexa Donations, Brief Mode — to Alexa. While the Follow-Up mode makes Alexa more conversational, Brief Mode shortens its responses. Alexa Donations allow customers to make donations to charities via voice using Amazon Pay.

Users now have the ability to add music and podcasts to daily Alexa Routines. The company is also providing hands-free Alexa support on Fire 7 and Fire HD 8 tablets when plugged in, so customers can simply use their voice to ask Alexa on their tablet to perform multiple tasks.

Moreover, Amazon introduced Alexa Skill Blueprints for customers with no programming experience. The easy-to-use templates now allow customers to create their own personalized Alexa skills.

The company also released new developer tools and Alexa features to make voice-controlled entertainment easier. This includes the expansion of far-field voice control on Fire TV for the U.K. and Germany.

Amazon introduced new Alexa Skills Kit developer console, which helps developers create, manage, and publish Alexa skills. Alexa now features more than 40,000 skills created by third-party developers.

Amazon introduced new ways for customers to communicate using Alexa, including the launch of Alexa Calling and Messaging on Fire, iOS, and Android tablets, as well as Alexa Announcements, a new feature to make one-way announcements to all other Echo devices in the household.

Alexa is now available on even more devices via the Alexa Voice Service, including new car models from Toyota.

Quarter Details

Product sales (61.9% of sales) increased 33.2% year over year to \$31.61 billion. Service sales (38.1% of sales) surged 62.2% from the year-ago quarter to \$19.44 billion.

Operating expenses were \$49.12 billion, up 41.5% from the year-ago quarter. Cost of sales, fulfillment, marketing, technology & content, general & administrative and other operating expenses increased 37%, 65.9%, 40.6%, 40.4%, 34.2% and 43.2%, respectively.

As percentage of revenues, operating expenses declined 100 basis points (bps) on a year-over-year basis to 96.2%. Cost of sales, marketing, technology & content, and general & administrative expenses declined 260 bps, 10 bps, 20 bps and 10 bps, respectively. Only fulfillment expenses increased 210 bps from the year-ago quarter.

Operating income jumped 91.7% from the year-ago quarter to \$1.93 billion. Operating margin expanded 100 bps from the year-ago quarter to 3.8%.

Segment wise, North America operating income soared 92.8% from the year-ago quarter to \$1.15 billion. AWS operating income surged 57.3% year over year to \$1.40 billion. International reported a loss of \$622 million, wider than year-ago quarter loss of \$481 million.

Amazon and Best Buy announced a multi-year, exclusive collaboration to bring the next generation of Fire TV Edition smart TVs to customers in the United States and Canada.

During the quarter, Amazon acquired Ring, a home security company.

Guidance

For second-quarter 2018, Amazon expects net sales between \$51 billion and \$54 billion. The figure is anticipated to grow in the range of 34-42% on a year-over-year basis. Management projects a favorable impact of approximately \$1.2 billion or 320 bps from foreign exchange rates.

Operating income is expected between \$1.1 billion and \$1.9 billion, compared with \$628 million in second-quarter 2017.

Recent News

On **May 31, 2018**, Amazon's cloud computing arm Amazon Web Services announced that Amazon Neptune, which was unveiled at the end of last year, is now available to the general public. Amazon Neptune is a graph database service that helps the application developers to build graph based application which requires access to unstructured data with millisecond latency.

On **May 31, 2018**, Amazon announced the availability of Prime Whole Foods discount at 121 Whole Foods Market stores located across 12 U.S. states. This move is in sync with its focus to strengthen presence in the retail sector. The move enables Prime members to avail an additional 10 percent discount on their purchases along with special weekly off on selected purchases made at these stores. Notably, the initiative was first rolled out in Florida.

On **May 29, 2018**, Amazon led a \$12 million investment in the subsidiary of Acko Technologies named, Acko General Insurance. Acko General Insurance is an India-based online insurance startup which covers all types of automobile insurance.

On **Apr 30, 2018**, Amazon announced plans to expand Vancouver Tech Hub and create an additional 3,000 jobs in fields including e-commerce technology, cloud computing, and machine learning.

On **Apr 24, 2018**, Amazon announced that Amazon Key service now offer customers an option to receive deliveries inside their vehicles.

On **Apr 23, 2018**, Amazon and Whole Foods Market launched free two-hour delivery of natural and organic products from Whole Foods Market through Prime Now in Denver, Sacramento and San Diego.

On **Mar 28, 2018**, Amazon.com announced that GoDaddy has selected Amazon Web Services (AWS). GoDaddy will migrate most of its infrastructure to AWS as part of a multi-year transition.

On **Mar 26, 2018**, Amazon announced that it has greenlit a straight-to-series order of a four-hour miniseries based on the epic saga of

Hernan Cortes.

On **Mar 20, 2018**, Amazon announced that Prime Video is launching additional sports programming on the service underneath the All or Nothing series.

On **Mar 19, 2018**, Amazon unveiled GameOn, a cross-platform, competitive gaming service for developers, with which they can easily integrate competitions natively into their games on mobile, PC, and console through a set of flexible APIs.

On **Mar 9, 2018**, Amazon announced the transformation of its Prime Pantry Service into a subscription model. The deal will encourage the customers to adopt prime membership.

On **Mar 7, 2018**, Amazon signed a two-year deal with Oscar-winning filmmaker, Kenneth Lonergan, which will cover the film and television projects he is associated with.

On **Mar 6, 2018**, Amazon Studios announced it has greenlit Undone—a direct-to-series animated show co-created by Raphael Bob-Waksberg (BoJack Horseman) and Kate Purdy (BoJack Horseman). The series is expected to premiere in 2019 on Prime Video in over 200 countries and territories exclusively for Prime Members.

Valuation

The 'Value' section of the Industry Comparisons table below provides all the key valuation metrics for Amazon contrasted with its nearest peers as well as the industry and the S&P 500 index. Please note that the Zacks Value Style Score condenses all of these valuation metrics into one score that provides a true measure of the stock's intrinsic value. A Value Style Score of 'A' (or 'B') is highly desirable, particularly when accompanied with Zacks Rank #1 (Strong Buy) or Zacks Rank #2 (Buy).

The target price of \$1,825 is based on a Price/Book multiple of 27.2.



JD.com, Inc. (JD)	3
Alibaba Group Holding Limited (BABA)	3
Booking Holdings Inc. (BKNG)	3
Qurate Retail Group, Inc. (QRTEA)	3
Expedia, Inc. (EXPE)	2
eBay Inc. (EBAY)	3
Wayfair Inc. (W)	4
Ctrip.com International, Ltd. (CTRP)	3
ZALANDO SE ADRS (ZLNDY)	3

Industry Comparison Internet - Commerce Position in Industry: 3 of 28				Industry Peers		
	AMZN 2	X Industry	S&P 500	JD 3	BABA 3	BKNG 3
Market Cap	796.52 B	2.11 B	20.95 B	43.45 B	523.35 B	102.56 B
# of Analysts	13	4	15	4	9	14
Dividend Yield	0.00%	0.00%	1.77%	0.00%	0.00%	0.00%
Growth Score	C	-	-	F	F	D
Hist. EPS Growth (3-5 yrs)	107.68%	10.56%	6.96%	0.18	0.07	0.07
Proj. EPS Growth (F1/F0)	181.74%	-5.44%	18.70%	45.19	45.44	20.61
Curr. Cash Flow Growth	30.85%	1.18%	7.91%	5.67	1.27	1.48
Hist. Cash Flow Growth (3-5 yrs)	43.07%	20.59%	7.20%	4.99	7.52	9.64
Current Ratio	1.06	1.36	1.31	77.59	44.93	24.20
Debt/Capital	43.92%	28.89%	41.38%	130.44	37.95	24.00
Net Margin	2.04%	3.09%	9.73%	0.73	13.66	7.78
Return on Equity	11.77%	7.57%	16.48%	0.78%	2.64%	4.17%
Sales/Assets	1.68	1.21	0.53	0.13	0.27	0.87
Proj. Sales Growth (F1/F0)	33.61%	17.45%	6.39%	0.47	4.55	87.96
Value Score	F	-	-	D	D	B
Cash/Price	0.03	0.10	0.05	NA	21.70%	18.41%
EV/EBITDA	49.36	15.88	12.72	-46.79%	2.77%	15.17%
PEG Ratio	4.24	2.41	1.78	-2,069.72%	36.78%	-7.00%
Price/Book (P/B)	25.32	5.46	3.12	35.84%	49.84%	21.04%
Price/Cash Flow (P/CF)	57.65	23.15	13.60	1.06	1.89	2.14
P/E (F1)	128.06	47.18	17.19	28.25%	21.92%	46.63%
Price/Sales (P/S)	4.12	2.91	2.45	0.31%	25.39%	18.90%
Earnings Yield	0.78%	1.89%	5.75%	3.62%	16.61%	22.03%
Debt/Equity	0.78	0.30	0.68	2.12	0.39	0.53
Cash Flow (\$/share)	28.48	1.07	5.81	35.15%	65.16%	15.41%
Momentum Score	B	-	-	A	F	C
Daily Price Chg	0.73%	0.09%	0.93%	2.59%	3.20%	0.95%
1 Week Price Chg	0.02%	0.00%	0.00%	0.03%	0.02%	0.02%
4 Week Price Chg	4.42%	0.51%	2.89%	-2.98%	12.00%	-1.08%
12 Week Price Chg	5.78%	0.00%	-0.69%	-20.49%	9.17%	-0.98%
52 Week Price Chg	64.82%	11.44%	9.17%	-10.42%	64.83%	12.59%
20 Day Average Volume	2,919,146	88,964	2,104,115	12,063,992	17,753,180	392,753
(F1) EPS Est Wkly Chg	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	277.27%	-0.32%	1.15%
(F1) EPS Est Qtrly Chg	50.94%	2.42%	0.79%	12.16%	-4.96%	1.37%
(Q1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	54.54%	2.01%	2.18%

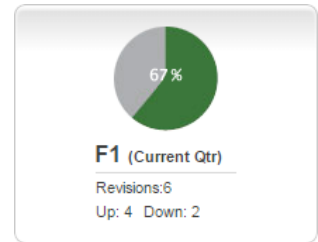
Zacks Rank Education

The Zacks Rank is calculated from four primary inputs: Agreement, Magnitude, Upside and Surprise.

Agreement

This is the extent which brokerage analysts are revising their earnings estimates in the same direction. The greater the percentage of estimates being revised higher, the better the score for this component.

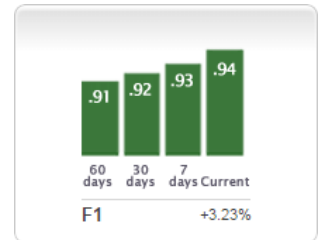
For example, if there were 10 estimate revisions over the last 60 days, with 8 of those revisions up, and the other 2 down, then the agreement factor would be 80% positive. If, however, 8 were to the downside with only 2 of them up, then the agreement factor would be 80% negative. The higher the percentage of agreement the better.



Magnitude

This is a measure based on the size of the recent change in the current consensus estimates. The Zacks Rank looks at the magnitude of these changes over the last 60 days.

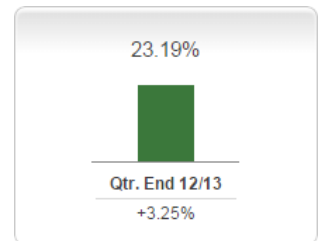
In the chart to the right, the display shows the consensus estimate from 60-days ago, 30-days ago, 7-days ago, and the most current estimate. The difference between the current estimate and the estimate from 60-days ago is displayed as a percentage. A larger positive percentage increase will score better on this component.



Upside

This is the difference between the most accurate estimate, as calculated by Zacks, and the consensus estimate. For example, a stock with a consensus estimate of \$1.00, and a most accurate estimate of \$1.05 will have an upside factor of 5%.

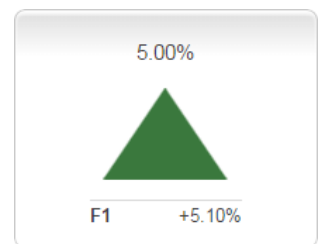
This is not an indication of how much a stock will go up or down. Instead, it's a measure of the difference between these two estimates. This is particularly useful near earnings season as a positive upside percentage can be used to help predict a future surprise.



Surprise

The Zacks Rank also factors in the last few quarters of earnings surprises. Companies that have positively surprised in the recent past have a tendency of positively surprising again in the future (or missing if they recently missed).

A stock with a recent track record of positive surprises will score better on this factor than a stock with a history of negative surprises. These stocks will have a greater likelihood of positively surprising again.



Zacks Style Score Education

The Zacks Style Score is as a complementary indicator to the Zacks Rank, giving investors a way to focus on the best Zacks Rank stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Growth, Value, and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. An A, is better than a B; a B is better than a C; and so on.

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Rank #1 or #2, Strong Buy or Buy, which also has a Style Score of an A or a B.

Value Score	F
Growth Score	C
Momentum Score	B
VGM Score	D

Disclosures

The analysts contributing to this report do not hold any shares of this stock. The EPS and revenue forecasts are the Zacks Consensus estimates. Additionally, the analysts contributing to this report certify that the views expressed herein accurately reflect the analysts' personal views as to the subject securities and issuers. Zacks certifies that no part of the analysts compensation was, is, or will be, directly or indirectly, related to the specific recommendation or views expressed by the analyst in the report. Additional information on the securities mentioned in this report is available upon request. This report is based on data obtained from sources we believe to be reliable, but is not guaranteed as to accuracy and does not purport to be complete. Because of individual objectives, the report should not be construed as advice designed to meet the particular investment needs of any investor. Any opinions expressed herein are subject to change. This report is not to be construed as an offer or the solicitation of an offer to buy or sell the securities herein mentioned. Zacks or its officers, employees or customers may have a position long or short in the securities mentioned and buy or sell the securities from time to time. Zacks uses the following rating system for the securities it covers which results from a proprietary quantitative model using trends in earnings estimate revisions. This model is proven most effective for judging the timeliness of a stock over the next 1 to 3 months. The model assigns each stock a rank from 1 through 5. Zacks Rank 1 = Strong Buy. Zacks Rank 2 = Buy. Zacks Rank 3 = Hold. Zacks Rank 4 = Sell. Zacks Rank 5 = Strong Sell. We also provide a **Zacks Industry Rank** for each company which provides an idea of the near-term attractiveness of a company's industry group. We have 264 industry groups in total. Thus, the Zacks Industry Rank is a number between 1 and 264. In terms of investment attractiveness, the higher the rank the better. Historically, the top half of the industries has outperformed the general market.